

34-2 How Fiscal Policy Influences Aggregate Demand

The government can influence the behavior of the economy not only with monetary policy but also with fiscal policy.

Fiscal policy (the setting of the level of government spending and taxation by government policymakers)

refers to the government's choices regarding the overall levels of government purchases and taxes. Earlier in the book, we examined how fiscal policy influences saving, investment, and growth in the long run. In the short run, however, the primary effect of fiscal policy is on the aggregate demand for goods and services.